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China Gold & Jewelry | Asia Pacific

Key read-across from major Chinese jewelry players' SSSG and mall trends

Key Takeaways

- Weight-based gold SSSG stayed healthy in June, but may have slowed sequentially. Luk Fook's 2Q China SSSG was 16% vs. >20% on Apr 1-Jun 21Q.
- Premium fixed-price gold demand YoY improved sequentially in June, as declines in China gold jewelry sales narrowed at key malls.
- HK/Macau demand remained robust in June. Luk Fook's 2Q HK/Macau SSSG of +41% was in line with Apr 1-Jun 21.
- Chow Tai Fook's 2Q revenue and profit trends should outperform Laopu, while Laopu's demand recovered sequentially.
- Stable gold prices and RMB appreciation should provide a more supportive backdrop for Chow Tai Fook.

Following recently announced 2QCY26 (Apr-Jun) trends at [Luk Fook](#) (590.HK, not covered) and [Chow Sang Sang](#) (116.HK, not covered), as well as [shopping mall operators'](#) (covered by Stephen Cheung) Jun-26 trends, our read-across are as follows:

Chow Tai Fook (1929.HK, OW): CTF will report 1QFY27 (Apr-Jun) operating data in late July. We expect the SSSG trend to be largely similar to Apr-May (China SSSG: +20%; HK/Macau: +41%). We do not expect CTF to revise [F27 guidance](#) at the 1QF27 briefing call, despite current gold price (~US\$4K) being lower than its assumption (US\$4.3K), as guidance was only announced less than a month ago. In our view, the stable gold price environment is positive to demand for weight-based products and lower-tier cities. Rmb appreciation is positive to CTF's HK/Macau business and CTF financials (HKD is its reporting currency).

Laopu (6181.HK, OW): A [weak 2Q trend](#) is largely in the price, in our view. The sequential improvement among premium fixed price gold products is encouraging, although 3Q visibility remains low. We await management comments at the interim result briefing in late Aug (e.g., Jul-Aug sales trends, any revised strategy and dividend policy).

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CHINA/HONG KONG CONSUMER

Asia Pacific

Industry View

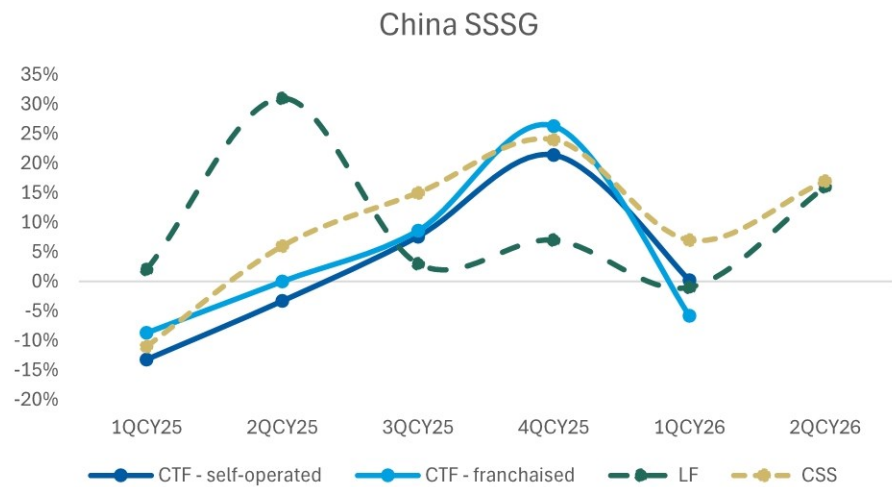
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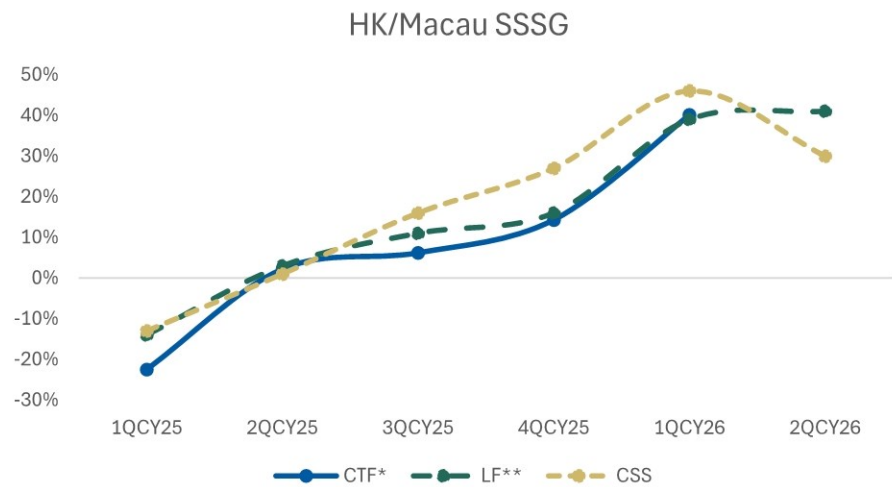
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Exhibit 1: Gold & jewelry: China SSSG



Source: Company data, Morgan Stanley Research

Exhibit 2: Gold & jewelry: HK/Macau SSSG



Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Chow Tai Fook Jewellery Group Ltd (1929.HK)

We use a P/E-based valuation, consistent with the rest of our consumer discretionary coverage. Our price target is based on 18x F27e P/E, slightly above the average since 2016. This is to reflect a strategy change with slower network expansion but stronger same-store profitability. We await achievement of margin expansion beyond gold price hikes. We project a ~30% EPS CAGR over F25-27.

Risks to Upside

- Faster-than-expected network expansion and same-store sales growth in China/HK
- Gold price rally driving margin expansion
- Success in brand revitalization strategy for sustainable ROE enhancement

Risks to Downside

- Macro slowdown and declines in disposable income
- Intense competition for gold products in mainland China
- Gold price decline that drags operating margins

Laopu Gold (6181.HK)

Base case scenario, P/E-based valuation methodology, consistent with the rest of our consumer discretionary coverage. We use 11x 2026e P/E, which implies ~0.35x PEG, lower than the average for consumer stocks.

We think this is reasonable considering gold price volatility and macro weakness. In addition, considering that growth is likely to decelerate in 2026 on a higher comp base, we believe a lower-than-peers PEG assumption is reasonable.

Risks to Upside

- More proactive consumption-related policy support
- Faster-than-expected same store sales growth
- Gold price rally

Risks to Downside

- Delay in consumption-related policy support
- Weaker-than-expected demand trend due to sharp gold price correction
- Sharp sales growth slowdown

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(as of June 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Chow Tai Fook Jewellery Group Ltd (1929.HK) - As of 07/20/26 GMT in HKD
Industry : China/Hong Kong Consumer



Stock Rating History: 7/1/21 : O/I; 11/25/22 : E/I; 3/4/25 : O/I

Price Target History: 6/9/21 : 17.5; 9/21/21 : 18.5; 6/2/22 : 16.5; 11/25/22 : 17; 6/5/23 : 16; 10/5/23 : 14; 11/24/23 : 13.5; 5/27/24 : 12; 6/14/24 : 11; 8/26/24 : 7.7; 10/30/24 : 8.3; 3/4/25 : 10.5; 5/21/25 : 13; 6/13/25 : 14; 10/20/25 : 19

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

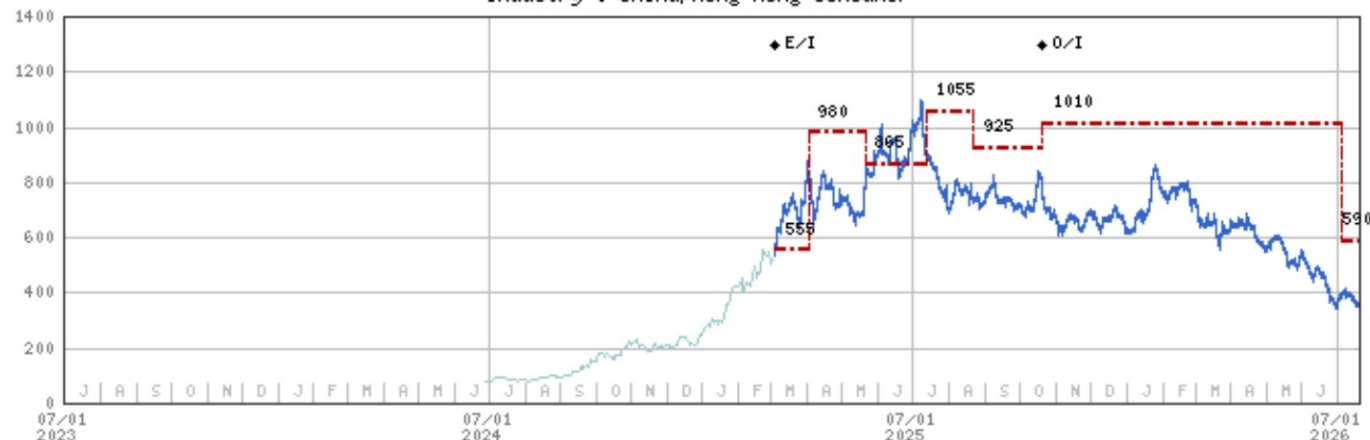
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Laopu Gold (6181.HK) - As of 07/20/26 GMT in HKD
Industry : China/Hong Kong Consumer



Stock Rating History: 3/4/25 : E/I; 10/20/25 : O/I

Price Target History: 3/4/25 : 555; 4/2/25 : 980; 5/21/25 : 865; 7/12/25 : 1055; 8/22/25 : 925; 10/20/25 : 1010; 7/6/26 : 590

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Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: China/Hong Kong Consumer

COMPANY (TICKER)

RATING (AS OF)

PRICE* (07/17/2026)

Dustin Wei

ANTA Sports Products (2020.HK)	++	HK\$74.15
Bosideng International Holdings Limited (3998.HK)	O (11/27/2024)	HK\$4.77
C&S Paper Co Ltd (002511.SZ)	U (09/22/2021)	Rmb7.10
Chacha Food Co Ltd (002557.SZ)	U (02/20/2025)	Rmb19.30
Giant Biogene Holding Co Ltd (2367.HK)	O (08/08/2024)	HK\$29.00
Health and Happiness (H&H) (1112.HK)	E (07/12/2021)	HK\$14.95
Hengan International Group (1044.HK)	E (05/06/2021)	HK\$24.08
Li Ning (2331.HK)	O (10/09/2019)	HK\$14.80
Mao Geping Cosmetics Co., Ltd (1318.HK)	O (03/10/2026)	HK\$53.15
Pop Mart International Group (9992.HK)	O (05/17/2021)	HK\$163.60
Proya Cosmetics Co. Ltd. (603605.SS)	O (10/12/2021)	Rmb56.73
Samsonite Group (1910.HK)	O (06/15/2020)	HK\$13.92
Shanghai Jahwa United Co. Ltd. (600315.SS)	U (07/07/2023)	Rmb17.61
Sun Art Retail Group Limited (6808.HK)	E (03/05/2019)	HK\$1.17
Topsports International Holdings Ltd (6110.HK)	O (11/13/2019)	HK\$1.91
Weilong Delicious Global Holdings Ltd (9985.HK)	O (06/11/2025)	HK\$7.50
Yonghui Superstores (601933.SS)	U (05/18/2023)	Rmb3.07
Hildy Ling		
Angel Yeast Co. Ltd. (600298.SS)	E (05/21/2026)	Rmb38.48
Beijing Roborock Technology Co Ltd (688169.SS)	O (09/25/2024)	Rmb99.17
China Tourism Group Duty Free (1880.HK)	E (12/13/2023)	HK\$49.46
China Tourism Group Duty Free (601888.SS)	E (12/13/2023)	Rmb52.90
Chow Tai Fook Jewellery Group Ltd (1929.HK)	O (03/04/2025)	HK\$11.82
Chow Tai Seng Jewellery Co Ltd (002867.SZ)	U (03/04/2025)	Rmb12.10
Ecovacs Robotics Co Ltd (603486.SS)	O (07/09/2026)	Rmb53.39
Foshan Haitian Flavouring and Food (603288.SS)	E (07/28/2025)	Rmb36.00
Foshan Haitian Flavouring and Food (3288.HK)	E (05/21/2026)	HK\$31.44
Haidilao International Holding Ltd (6862.HK)	O (05/26/2021)	HK\$11.66
Hangzhou Robam Appliances Co Ltd (002508.SZ)	U (02/21/2024)	Rmb15.74
Laopu Gold (6181.HK)	O (10/20/2025)	HK\$350.00
Super Hi (HDL.O)	E (01/14/2025)	US\$13.33
Zhejiang Supor Co. Ltd. (002032.SZ)	E (01/17/2022)	Rmb43.85
Lillian Lou		
Anhui Gujing Distillery Company Limited (000596.SZ)	U (02/13/2026)	Rmb85.30
Budweiser Brewing Company APAC Ltd (1876.HK)	O (11/04/2019)	HK\$6.54
Chagee Holdings Ltd (CHA.O)	O (06/02/2025)	US\$11.30
China Mengniu Dairy (2319.HK)	O (09/14/2017)	HK\$17.90
China Resources Beer Holdings Co Ltd (0291.HK)	O (12/11/2018)	HK\$23.70
Chongqing Brewery Co. Ltd. (600132.SS)	U (07/30/2021)	Rmb43.19
Eastroc Beverages (605499.SS)	O (03/12/2026)	Rmb124.43
Eastroc Beverages (9980.HK)	O (03/12/2026)	HK\$109.80
Gree Electric Appliances Inc of Zhuhai (000651.SZ)	E (07/09/2026)	Rmb39.95
Haier Smart Home Co Ltd (600690.SS)	E (01/17/2022)	Rmb20.95
Haier Smart Home Co Ltd (6690.HK)	E (01/17/2022)	HK\$21.04
Kweichow Moutai Company Ltd. (600519.SS)	O (10/17/2014)	Rmb1,253.00
Luzhou Lao Jiao Co. Ltd (000568.SZ)	E (01/23/2019)	Rmb82.46
Midea Group Co Ltd. (0300.HK)	O (11/01/2024)	HK\$92.25
Midea Group Co Ltd. (000333.SZ)	O (01/17/2022)	Rmb82.71
Muyuan Foodstuff Co. Ltd (2714.HK)	O (03/17/2026)	HK\$33.66
Muyuan Foodstuff Co. Ltd (002714.SZ)	O (03/17/2026)	Rmb39.83
Nongfu Spring Co Ltd (9633.HK)	E (07/30/2021)	HK\$42.22
Shanxi Xinghuacun Fen Wine Factory Co. (600809.SS)	O (10/28/2020)	Rmb116.24
Shuanghui Development (000895.SZ)	U (03/16/2021)	Rmb24.60
Tingyi (Cayman Islands) (0322.HK)	E (07/25/2025)	HK\$11.59
Tsingtao Brewery Co Ltd (0168.HK)	E (11/01/2024)	HK\$44.90

Tsingtao Brewery Co Ltd (600600.SS)	E (02/28/2024)	Rmb52.51
Uni-President China (0220.HK)	E (07/25/2025)	HK\$7.61
Want Want China Holdings Ltd (0151.HK)	E (11/29/2023)	HK\$3.44
WH Group (0288.HK)	O (02/24/2025)	HK\$8.24
Wuliangye Yibin Company Ltd. (000858.SZ)	E (08/15/2024)	Rmb72.76
Yanghe Brewery (002304.SZ)	U (01/05/2021)	Rmb39.77
Yanjing Brewery (000729.SZ)	U (09/02/2015)	Rmb11.94
Yili Industrial (600887.SS)	O (01/29/2014)	Rmb26.11
Yum China Holdings Inc. (YUMC.N)	O (03/20/2018)	US\$43.87
ZJLD Group (6979.HK)	E (02/13/2026)	HK\$7.67
Terence Cheng		
Chervon Holdings Ltd. (2285.HK)	E (04/12/2024)	HK\$19.06
Crystal International Group Ltd. (2232.HK)	E (06/23/2025)	HK\$5.91
Gongniu Group Co Ltd (603195.SS)	O (05/08/2023)	Rmb37.31
Hangzhou Greatstar Industrial Co Ltd (002444.SZ)	E (10/26/2022)	Rmb28.93
Huali Industrial Group Co (300979.SZ)	U (02/10/2026)	Rmb32.50
Shenzhou International Group Holdings (2313.HK)	O (07/13/2017)	HK\$44.40
Stella International Holdings Ltd (1836.HK)	E (06/23/2025)	HK\$13.64
Techtronic Industries Co Ltd (0669.HK)	O (12/05/2019)	HK\$128.30
Yue Yuen Industrial Hldg (0551.HK)	E (09/14/2021)	HK\$13.66

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* Historical prices are not split adjusted.